means ensuring growth does not exceed our potential, adopting prudential policies that reduce our risk, and building sufficient buffers that the country is protected against shocks.

HAVING YOUR CAKE AND EATING IT TOO: INTEREST RATES AND THE EXCHANGE RATE

This mission, however, exposes the central bank to criticism. If we try and bring down inflation, interest rates will remain higher than borrowers desire. If inflation comes down, the currency will depreciate less than some exporters desire. If we push the banks to clean up, banks may be less tolerant towards habitual non-payers. Whatever we do, someone will object. The RBI then becomes the favourite scapegoat for underperformance – if exports are not picking up, it is because interest rates are too high and because the exchange rate is too strong.

Unlike the complainants, the RBI does not have the luxury of economic inconsistency. If we start buying dollars in a big way to depreciate the exchange rate, we will be able to buy fewer government bonds if we are to maintain control over liquidity. The consequence will be higher interest rates in the bond market. Moreover, the depreciated exchange rate will mean higher inflation, which in turn will mean higher policy interest rates given the inflation objective the government has set for us. Once again, this means higher interest rates. Just look at Brazil or Russia to understand you cannot have a significantly depreciated exchange rate and lower interest rates at the same time if you want stable growth!

FIRST YEAR ECONOMICS: THERE IS NO FREE LUNCH. RBI DIVIDEND POLICY

A fundamental lesson in economics is there is no free lunch. This can be seen in the matter of the RBI dividend: Some commentators seem to suggest that public sector banks could be recapitalized entirely if only the RBI paid a larger dividend to the government. Let me explain